Practice workbook · Why keep a full set of accounting records

The benefits of complete double-entry records over incomplete records for control and decision-making.

2 question parts: 1 worked-example retry and 1 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-PIR-11

1. Question 2 · part b · 4 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part b only.

2 On 1 January 2023, Thelma started in business by introducing cash of $5 000 and a motor vehicle valued at $12 000. On this day, she also took out a bank loan of $5 000 repayable in full on 31 December 2028.

(a) (i) Calculate the equity at 1 January 2023.

(1)

Thelma did not maintain a full set of accounting records but was able to provide the following information after her first year's trading.

Balances at 31 December 2023	$
Bank overdraft	2 198
Cash in hand	890
Inventory	14 568
Other receivables	200
Other payables	567
Trade receivables	2 167
Trade payables	2 325

During the year ended 31 December 2023:

- Thelma purchased an additional motor vehicle costing $10 000 that she funded from her own monies.
- All motor vehicles were depreciated by 20% per annum using the straight line method.
- A further bank loan, $3 000, was taken out. This was to be repaid in full on 30 June 2024.
- Thelma withdrew cash, $4 000, and goods costing $800

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1. Question 2 · part b · 4 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part b only.

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(ii) Prepare the statement of financial position at 31 December 2023.

(15)

Thelma
Statement of financial position at 31 December 2023

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1. Question 2 · part b · 4 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part b only.

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1. Question 2 · part b · 4 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part b only.

(b) Discuss **two** reasons why a business should maintain full accounting records.

(4)

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1. Question 2 · part b · 4 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part b only.

On 31 December 2023, another trader, Louise, provided the following information.

31 December	Current ratio	Quick ratio (acid test)
2022	2.8:1	1.6:1
2023	1.2:1	0.8:1

(c) Evaluate the change in the liquidity of Louise's business over the two years and discuss the implications of this for the business's credit suppliers.

(5)

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(Total for Question 2 = 25 marks)

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1. Question 2 · part b · 4 marks · Working and answer

Working and answer

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2. Question 18 · part d · 5 marks

2023 JAN · Paper 01

Further practice · Attempt part d only.

18 On 30 September 2022 the bank column of Sam's cash book showed a balance of $2 640 Dr which did not agree with his bank statement balance of $4 079 Cr on the same date.

He discovered the following differences.

- A direct debit, $148, had been entered in the cash book as $184 and bank charges, $182, had not been entered in the cash book.
- A cheque received, $260, and cheques issued totalling $1 845 had been entered in the cash book but had not yet been processed by the bank

(a) Calculate the updated bank balance in Sam's cash book at 30 September 2022.

(3)

(b) Prepare the bank reconciliation statement at 30 September 2022.

(5)

Sam
Bank reconciliation statement at 30 September 2022

	$
Updated bank balance per cash book	

(c) State **two** features of a direct debit.

(2)

1 .....

2 .....

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P 6 5 8 8 6 A 0 2 0 2 4

2. Question 18 · part d · 5 marks

2023 JAN · Paper 01

Further practice · Attempt part d only.

Sam currently maintains only a cash book to record his business transactions. He has decided that he should maintain a full set of accounting records in the future.

(d) Evaluate **two** benefits to Sam of maintaining a full set of accounting records.

(5)

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(Total for Question 18 = 15 marks)

2. Question 18 · part d · 5 marks · Working and answer

Working and answer

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